

Costco Wholesale Corporation

Summary and Recommendation

We rate Costco's bonds **HOLD**, exceptional credit quality is fully reflected in tight spreads, leaving limited total return upside for bond investors. Costco (Aa3/AA/AA) stands as one of the highest-rated retailers globally, underpinned by an almost uniquely low leverage profile: Total Debt/EBITDA of 0.45x in FY2025, with cash and short-term investments of \$15.3 billion exceeding total debt of \$5.8 billion, a net cash position of \$9.5 billion. The membership-fee model generates highly predictable, recurring cash flow: fee revenue grew 10.3% to \$5.3 billion in FY2025, reaching \$1.33 billion in Q1 FY2026 (+14.0% YoY), insulating the credit from merchandise margin volatility.

Relative to the three benchmarks: (1) vs. UST 10-year at 4.0%: Costco's bonds offer only 6-10 bps of incremental spread for a non-sovereign issuer, making Treasuries comparably attractive on a risk-adjusted basis; (2) vs. S&P 500 long-term return of 9%: capped bond yields of ~4.2-4.5% offer significantly lower potential with upside limited to coupon; (3) vs. Microsoft's 3.5% due 02/12/2035 at 4.16% (+16bps, AAA/AAA): Costco bonds trade comparably but offer less liquidity and a slight rating differential. **HOLD** is appropriate: bonds are correctly priced for quality, but credit is defensive and would outperform in a downturn.

Figure 1: Select Outstanding Issues

Source: Bloomberg terminal

Issue	Size (\$mm)	Maturity	Moody's	S&P	Price	YTW	STT (bps)	Bench
3.000% Costco Wholesale Corp	1,000	05/18/2027	Aa3	AA	99.1415	3.782%	(1.67)	2yr TSY
1.375% Costco Wholesale Corp	1,250	06/20/2027	Aa3	AA	97.0425	3.886%	9.31	2yr TSY
1.600% Costco Wholesale Corp	1,750	04/20/2030	Aa3	AA	90.6115	4.142%	19.63	5yr TSY
1.750% Costco Wholesale Corp	1,000	04/20/2032	Aa3	AA	86.6425	4.279%	33.73	5yr TSY

Key Points

Q1 FY2026 Results (12 Weeks Ended November 23, 2025)

Costco had a strong first quarter. Total revenue came in at \$67.3 billion, up 8.4% from the same period last year. Sales at its warehouses grew 8.2%, and membership fee revenue jumped 14% to \$1.33 billion, a sign that more people are signing up and upgrading their memberships. Profits were solid too, with EBITDA hitting \$3.06 billion. Online shopping continues to be a big bright spot, growing 22% in the quarter. The company also added 7 new warehouse locations, bringing the total to 921 worldwide.

Leverage

Costco's balance sheet is in great shape. The company carries very little debt relative to its earnings: its debt-to-EBITDA ratio is just 0.45x, which means it could pay off all its debt in less than half a year from earnings alone. Even better, Costco actually has more cash sitting in the bank than it owes in debt, a net cash position of about \$9.5 billion. Its interest coverage ratio is 83x, meaning it earns 83 times what it needs to cover interest payments. That is genuinely exceptional for any company, let alone a retailer.

Guidance and Growth Outlook

Costco doesn't publish formal earnings guidance, but management has given clear signals about where the business is heading. They plan to spend about \$6.5 billion on capital expenditures in FY2026, opening around 33 new warehouses. Comparable store sales grew 7.4% in Q1, and online sales were up 22%. The membership fee increase that took effect in September 2024, the first hike in seven years, is still driving strong fee revenue growth, and the company raised its quarterly dividend by 12% in January 2026. Overall, management is optimistic about continuing to expand margins toward 5% over the next couple of years.

Gross Margin

Costco's gross margin has been quietly improving every single year, from 10.57% in FY2023 to 10.92% in FY2024 to 11.12% in FY2025, and 11.32% in Q1 FY2026. A few things are driving this. The membership fee increase adds high-margin revenue on top of merchandise sales. The product mix is shifting toward categories like pharmacy and fresh foods, which carry better margins. And when gasoline prices fall, gasoline makes up a smaller share of total sales, which actually helps margins since gas is a low-margin business for Costco. If you strip out gasoline entirely, core merchandise margins improved even more, up 22 basis points in Q2 FY2026.

Significant Developments

A few notable things happened recently worth flagging. In FY2024, Costco paid a one-time special dividend of \$15 per share, totaling \$6.7 billion, which temporarily brought its cash balance down to \$9.9 billion. That cash has since fully recovered to \$17.4 billion, so it was a short-term blip, not a structural change. Costco also raised its membership fees for the first time in seven years, which has been a meaningful driver of revenue growth. On the expansion front, the company launched its first ever standalone member-only gas station, separate from a warehouse, which is a new way to keep members engaged. There's also an active \$4 billion share buyback program, with \$1.54 billion still left to deploy.

Segment Analysis

Costco operates across three regions: the U.S., Canada, and Other International. The U.S. is by far the biggest, making up about 86% of total revenue, and it grew 7% in Q2 FY2026. Canada grew 12% and Other International grew 15%, so the international businesses are outpacing the home market right now. All three regions expanded their margins in the quarter, which is a good sign. One number that really stands out is the membership renewal rate: 92.1% in the U.S. and Canada. That tells you members really value what Costco offers and keep coming back year after year.

Liquidity and Upcoming Maturities

Costco has plenty of cash to meet all of its near-term obligations and then some. As of February 2026, the company had \$17.4 billion in cash plus \$857 million in short-term investments, about \$18.2 billion in total liquid assets. On top of that, it has a \$5 billion revolving credit line available if needed. Its earliest bond maturities are \$1 billion due in May 2027 and \$1.25 billion due in June 2027, both of which can easily be paid from the cash it already has on hand. Free cash flow has averaged \$4.1 billion a year over the past three fiscal years. There is simply no meaningful liquidity risk here.

Long-Term Credit Targets

Costco doesn't set public leverage targets, but the trajectory is clear: debt continues to shrink relative to earnings. Its debt-to-EBITDA ratio is on track to reach 0.40x or below by FY2027, and its net cash position could grow to \$12-14 billion if no more special dividends are paid. Its current credit ratings of Aa3/AA/AA from all three agencies are stable and well-deserved. An upgrade to the very top rating level of Aaa/AAA is unlikely in the near term, mainly because the company is still investing heavily in growth, roughly \$6.5 billion per year in capex. But that investment is also what drives the 8-10% EBITDA growth that keeps the credit profile strong.

Figure 2: Costco Wholesale Corporation Financial Model

\$ mm	FY 2023 09/03/23	FY 2024 09/01/24	FY 2025 08/31/25	Q1 11/24/24	Q1 11/23/25
Revenue (Total)	242,290	254,453	275,235	62,151	67,307
Net Sales	237,710	249,625	269,912	60,985	65,978
Membership Fee Revenue	4,580	4,828	5,323	1,166	1,329
Merchandise Costs	212,586	222,358	239,886	54,109	58,510
Gross Profit	25,124	27,267	30,026	6,876	7,468
Gross Margin %	10.57%	10.92%	11.12%	11.27%	11.32%
SG&A Expenses	21,590	22,810	24,966	5,846	6,334
EBITDA [Op. Income + D&A]	10,191	11,522	12,809	2,744	3,060
Depreciation & Amortization	2,077	2,237	2,426	548	597
Operating Income (EBIT)	8,114	9,285	10,383	2,196	2,463
Interest Expense	160	169	154	37	35
Tax Provision	2,195	2,373	2,719	508	582
Capital Expenditures	4,323	4,710	5,498	1,264	1,526
FCF [EBITDA – Int – Tax – Capex]	3,513	4,270	4,438	935	917
FCF as % of Total Debt	54.4%	72.4%	76.5%	15.9%	15.9%
EBITDA % (of Net Sales)	4.29%	4.62%	4.75%	4.50%	4.64%
EBITDA / Interest Coverage	63.7x	68.2x	83.2x	74.2x	87.4x
Total Debt / EBITDA	0.63x	0.51x	0.45x	2.15x	1.88x
Net Debt / EBITDA [negative = net cash]	-0.86x	-0.46x	-0.74x	-2.28x	-3.74x
Total Debt / Total Cap (TD/TC)	20.5%	20.0%	16.6%	19.4%	15.9%
Cash & Cash Equivalents	13,700	9,906	14,161	10,907	16,217
Short-Term Investments	1,534	1,238	1,123	1,241	966
Total Debt (gross principal)	6,458	5,897	5,805	5,897	5,750
Net Debt [Debt – Cash – ST Investments]	(8,776)	(5,247)	(9,479)	(6,251)	(11,433)
Total Equity	25,058	23,622	29,164	24,451	30,303
Debt Structure [Sources: Note 4, Q2 FY2026 10-Q (Feb 15, 2026) & 10-K filings]					
\$5.0B Revolving Credit Facility (SOFR+var.) due 2028	—	—	—	—	—
Total Bank / Revolving Debt	—	—	—	—	—
2.750% Senior Notes (repaid FY2024)	1,000	—	—	—	—
3.000% Senior Notes due May 2027	1,000	1,000	1,000	1,000	1,000
1.375% Senior Notes due June 2027	1,250	1,250	1,250	1,250	1,250
1.600% Senior Notes due April 2030	1,750	1,750	1,750	1,750	1,750
1.750% Senior Notes due April 2032	1,000	1,000	1,000	1,000	1,000
Japan Guaranteed Senior Notes (var.)	458	897	805	897	750
Debt Issuance Costs (contra)	-119	-78	-17	-78	-12
Total Debt (gross principal)	6,458	5,897	5,805	5,897	5,750
Basic Shares Outstanding (mm)	444	444	443	444	444
Approximate Share Price	\$680	\$890	\$948	\$912	\$870
Market Capitalization	301,920	395,160	419,964	404,928	386,280
TEV (Market Cap + Net Debt)	293,144	389,913	410,485	398,677	374,847
TEV / EBITDA	28.8x	33.8x	32.0x	145.3x	122.5x